

Boulangerie Saint-Louis — Job-Order Costing & ABC Practice

Boulangerie Saint-Louis is a wholesale bakery in Metz that **manufactures baked goods to order** for local cafés, brasseries, and grocers. It uses a **job-order costing system** and applies manufacturing overhead with a **plantwide predetermined rate of \$60 per direct labor hour**, set from estimates at the start of the year. Direct labor is paid **\$20 per hour**.

The four jobs in the shop during the week of 15 June

Job	Product	Quantity	Status at the end of the week
100	Pâté lorrain	200	Was already in process at the start of the week; finished and delivered to the customer
101	Pain au chocolat	96 (8 doz)	Started, finished, and delivered this week
102	Baguette	400	Started and finished this week; in the cooler awaiting pickup
103	Quiche lorraine	150	Started this week; still in process at week's end

Job 100 was **already in process** at the start of the week with **\$300 of cost accumulated** (beginning Work in Process). There was no beginning Finished Goods inventory.

Direct costs added this week

Job	Direct materials	Labor hours	Direct labor
100 Pâté lorrain	\$40	4	\$80
101 Pain au chocolat	\$120	12	\$240
102 Baguette	\$160	8	\$160
103 Quiche lorraine	\$180	6	\$120
Total	\$500	30	\$600

Actual manufacturing overhead incurred this week

Overhead cost	Amount
Oven gas & utilities	\$520
Indirect labor (production manager, cleaner)	\$700
Equipment depreciation	\$300
Indirect materials (packaging, parchment)	\$180
Factory rent & insurance	\$250
Total actual overhead	\$1,950

Activity data (for the ABC part)

Management identified three activity cost pools with the following predetermined rates, and recorded each job's actual usage:

Activity (rate)	Job 100	Job 101	Job 102	Job 103
Mixing & prep — \$20/labor-hr	4 hr	12 hr	8 hr	6 hr
Baking — \$30/oven-load	4 loads	12 loads	3 loads	5 loads
Setup & packaging — \$40/run	3 runs	6 runs	1 run	2 runs

Required

- (a) **Job cost sheets (plantwide).** For each job, accumulate beginning WIP + direct materials + direct labor + overhead applied at \$60/labor-hour, to get total cost (and cost per unit).
- (b) **Account balances.** Based on each job's status, determine the ending balance in **Work in Process** and **Finished Goods**, and the **unadjusted Cost of Goods Sold**.
- (c) **Over- or under-applied overhead.** Compare overhead applied to actual overhead. Is overhead over- or under-applied, and by how much? Give the entry to close it to COGS and the **adjusted COGS**.
- (d) **ABC overlay.** Recompute each job's overhead using the three activity pools. Which jobs did the plantwide rate *undercost* and which did it *overcost*? What does switching to ABC do to total over/under-applied overhead, and to the margins on the jobs that were sold?